Chapter 2

Functioning: EU Economic Governance

How does the EU manage 27 economies with one currency?

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- Part 1: Complete Synthesis — all key concepts with examples
- Part 2: Q&A; Exam Format — 15 questions & answers

PART 1 — COMPLETE SYNTHESIS

KEY CONCEPT 1 — Mundell's Policy Trilemma (THE most important concept)

A national economy **cannot simultaneously achieve** all three of these objectives:

1. **Fixed exchange rate** (stable currency for trade)
2. **Independent monetary policy** (set your own interest rates)
3. **Free movement of capital** (investors move money freely)

You can only ever have **2 out of 3**.

What the Eurozone chose: Fixed rates (1) + Free capital (3) → surrendered monetary autonomy. Result: interest rates are set by the ECB for all 20 eurozone members, regardless of individual national needs.

Concrete example: When Greece was in crisis (2010), it couldn't devalue its currency or cut interest rates independently — the ECB decides for everyone. That's the structural tension of the Eurozone.

KEY CONCEPT 2 — The 3 Phases of the Eurozone (Delors Report)

Phase	Date	What happened
Phase 1	July 1990	Legal preparations, abolition of capital movement restrictions
Phase 2	Jan 1994	IME (European Monetary Institute) created, ECB preparation, Maastricht criteria applied
Phase 3	Jan 1999	Exchange rates irrevocably fixed, ECB takes over monetary policy. Coins/notes: 2002

Maastricht Convergence Criteria (to join the euro, a country must meet):

- Inflation: no more than 1.5% above the 3 best-performing EU states
- Government deficit: below **3% of GDP**
- Government debt: below **60% of GDP**
- Exchange rate: stable for 2 years in ERM
- Long-term interest rates: no more than 2% above the 3 best performers

KEY CONCEPT 3 — Macroeconomic Policy: Two Levels

At national level:

- Short-term: **fiscal policy** (taxes + spending) + monetary policy (only for non-euro countries)
- Long-term: structural policies (agriculture, labour market reforms, education)

At EU/supranational level:

- Short-term: **monetary policy** (ECB manages the euro)
- Coordination: **European Semester** + Stability and Growth Pact

The key tension: Monetary policy is EU-level (ECB). Fiscal policy remains national. This creates coordination challenges — if Germany saves and Greece spends, the ECB must find a middle ground.

KEY CONCEPT 4 — The ECB and Monetary Policy

The ECB's **single mandate**: maintain price stability = keep inflation at **2% over the medium term**.

(Unlike the US Federal Reserve / FED which also targets full employment)

3 interest rates the ECB controls:

Rate	Who it affects	Purpose
Main refinancing rate	Banks borrowing from ECB	Controls cost of money in the economy
Marginal lending facility	Overnight bank loans	Emergency liquidity for banks
Deposit facility	Banks parking money at ECB	Discourages hoarding, encourages lending

Concrete example: When inflation hit 10% post-COVID, the ECB raised all 3 rates aggressively (to 4.5%/4.75%/4%) to cool down spending and bring inflation back to 2%.

KEY CONCEPT 5 — Fiscal Discipline: SGP + European Semester

Stability and Growth Pact (SGP):

- Deficit < **3% of GDP**
- Debt < **60% of GDP**
- Sanctions theoretically exist but have **never been applied** (political reality)

European Semester (created 2011 post-2008 crisis):

Annual 6-month cycle:

1. Commission publishes economic overview
2. Member states submit budget plans
3. Commission issues country-specific recommendations
4. States implement (or not)

Topics covered: public finances, pensions, taxation, education, unemployment.

KEY CONCEPT 6 — Macro-Prudential Policy

Macro-prudential policy = preventing the **entire financial system** from collapsing (not just individual banks).

- Managed by the ECB through the **SSM** (Single Supervisory Mechanism)
- Monitors systemic risks: excessive credit growth, leverage, contagion effects

- Example: After 2008, the ECB gained supervisory powers over major European banks to prevent another systemic crisis

Micro vs Macro prudential:

- Micro = supervising individual banks
- Macro = watching the whole system for domino effects

KEY CONCEPT 7 — Key Macroeconomic Indicators

Indicator	What it measures	Why it matters for the EU
GDP	Total economic output	Measures economic size and growth
Inflation	Price level increase	ECB targets 2% — too high = crisis, too low = stagnation
Unemployment	% of workforce without jobs	Structural vs cyclical; EU Semester tracks this
Public deficit	Government spending - revenues	SGP: must stay below 3% GDP
Public debt	Total accumulated government debt	SGP: must stay below 60% GDP
Balance of payments	All financial flows with rest of world	Always balanced (double-entry accounting)

KEY CONCEPT 8 — Exchange Rates: Depreciation vs Devaluation

- **Depreciation**: spontaneous fall in currency value driven by the **market** (e.g. investor panic)
- **Devaluation**: deliberate decision by **authorities** to lower currency value (to boost exports)

In the Eurozone, individual countries **cannot devalue** — the ECB manages the euro's value for all 20 members. This was Greece's problem in 2010.

KEY CONCEPT 9 — The Theory of Comparative Advantage

Countries should specialize in what they produce **relatively best**, even if another country is better at everything in absolute terms. This maximizes total output for all trading partners.

Example: Germany is better than Portugal at both cars and wine. But Germany is *relatively* much better at cars, and Portugal is *relatively* better at wine. So Germany makes cars, Portugal makes wine — both gain from trade.

This is the fundamental economic argument for free trade and the EU Single Market.

PART 2 — Q&A; EXAM FORMAT (15 Questions)

Q1 What is Mundell's Policy Trilemma?

A country cannot simultaneously have: (1) fixed exchange rate, (2) independent monetary policy, (3) free movement of capital. You must sacrifice one. The Eurozone chose 1 + 3, giving up national monetary autonomy to the ECB.

Q2 What did the Eurozone sacrifice by adopting the euro?

Member states surrendered their independent monetary policy. Interest rates are now set by the ECB for all 20 eurozone members, regardless of each country's individual economic situation.

Q3 What are the Maastricht convergence criteria to join the euro?

Inflation ≤ 1.5% above the 3 best EU performers. Deficit < 3% of GDP. Debt < 60% of GDP. Exchange rate stable in ERM for 2 years. Long-term interest rates ≤ 2% above the 3 best performers.

Q4 What are the 3 phases of the Eurozone creation?

Phase 1 (1990): legal preparations, free capital movement. Phase 2 (1994): IME created, Maastricht criteria applied. Phase 3 (1999): exchange rates irrevocably fixed, ECB takes over. Coins and notes launched in 2002.

Q5 What is the ECB's mandate? How does it differ from the FED?

The ECB has a single mandate: price stability = inflation at 2% over the medium term. The US Federal Reserve (FED) has a dual mandate: price stability AND full employment. The ECB focuses solely on inflation.

Q6 What are the 3 interest rates the ECB controls?

1. Main refinancing rate (cost for banks to borrow from ECB — affects all lending). 2. Marginal lending facility (overnight emergency loans for banks). 3. Deposit facility (rate on banks parking money at ECB — discourages hoarding).

Q7 What is the Stability and Growth Pact (SGP)?

An EU framework ensuring fiscal discipline. Rules: government deficit must stay below 3% of GDP, government debt below 60% of GDP. Sanctions exist but have never been applied in practice.

Q8 What is the European Semester and why was it created?

An annual 6-month cycle to coordinate economic, fiscal, social and labour policies across EU member states. Created in 2011 after the 2008 crisis revealed that one country's fiscal problems (Greece) could destabilize all others.

Q9 Depreciation vs Devaluation — what's the difference?

Depreciation = spontaneous market-driven fall in currency value (e.g. investors sell euros). Devaluation = deliberate government/central bank decision to lower the currency's value (to make exports cheaper). Eurozone members cannot devalue individually.

Q10 What is macro-prudential policy? Who manages it?

Policy aimed at preserving the stability of the ENTIRE financial system (not just individual banks). Managed by the ECB through the Single Supervisory Mechanism (SSM). It monitors systemic risks like excessive credit growth and contagion effects between banks.

Q11 What is the theory of comparative advantage? Give an example.

Countries should specialize in what they produce relatively most efficiently. Example: Germany is better at both cars and wine than Portugal, but relatively much better at cars. Germany makes cars, Portugal makes wine — trade makes both better off.

Q12 What is the balance of payments?

A statistical document recording ALL financial flows between a country's residents and the rest of the world (goods, services, capital, transfers). By accounting definition it always balances. When people say it's 'in deficit' they usually mean the current account (trade) is negative.

Q13 What tension exists at the heart of EMU governance?

Monetary policy is centralized at the ECB (supranational), but fiscal policy remains national. This means the ECB sets one interest rate for 20 countries with very different economic needs — what's good for Germany may hurt Italy or Greece.

Q14 What are the main macroeconomic indicators tracked in the EU?

GDP (economic output), Inflation (ECB target: 2%), Unemployment rate, Public deficit (SGP: <3% GDP), Public debt (SGP: <60% GDP), Balance of payments, Exchange rates.

Q15 What is the MIP (Macroeconomic Imbalance Procedure)?

A monitoring mechanism that detects and corrects macroeconomic imbalances within the EU — e.g. countries running large current account surpluses or deficits, housing bubbles, or rapidly growing private debt. It's part of the European Semester framework.